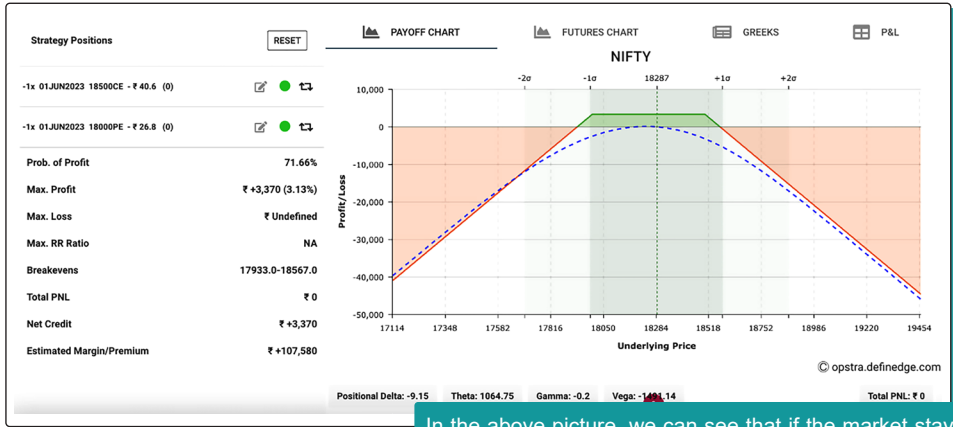
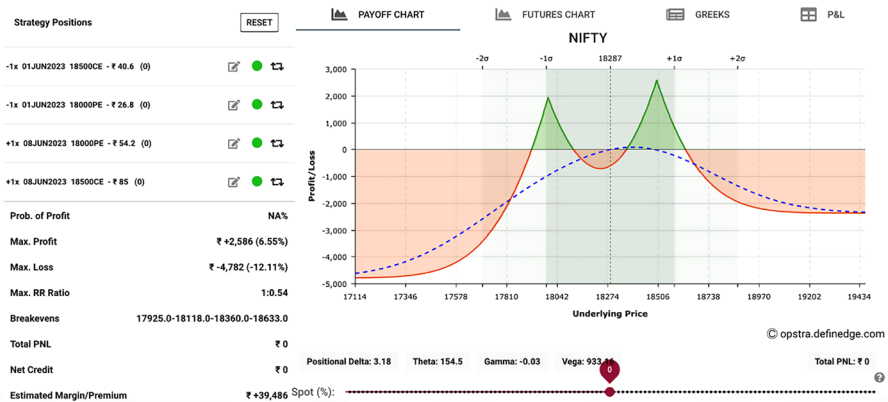




In the above picture, we can see that if the market stays in the range, we will get a profit of Rs. 3,370. The strategy does not end here. By selling we are getting theta decay but to profit from the market move, we need to buy CE and PE of the same strike price but of the next expiry.

Buying options helps in reducing the margins and we can benefit from Vega moves. The idea behind this strategy is to make money when the market is staying in the range till the near-term expiry by pocketing premium from the sold options. If the market moves anywhere after the near-term expiry, we can make money from the options bought.



If you look at the chart, we are only profitable at the range extremes. If the market stays exactly it is today at the expiry, we would be in loss. To close this strategy in profits, we should book our trades on the expiry day whichever side the market moves. If the market moves near 18500 on the near-term expiry, we will exit from the 18000 PE of both current and next week expiry. We will exit from the put-side legs and buy one more call option of the 8th June 2023. This is also applicable when the market falls- exiting from the call-side legs and buying one more put option of 8th June 2023.